CORPORATE LAWS & PRACTICES

March-April 2024

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Mr. D is a shareholder of a listed company in Bangladesh. Due to the ongoing financial crisis caused by international turmoil, the business of the company is not going well, which may result in the company likely to be able to declare any dividend. Mr. D, being a shareholder of that company, was very concerned of the situation and therefore while reviewing the financial statements of the company identified that there was a huge balance lying in the balance sheet under revaluation reserve and capital reserve on account of pre incorporation profit. Taking this into account, Mr. D is contemplating to request the company to call for shareholders' meeting to declare interim dividend out of such revaluation reserve and capital reserve. Mr. D is also contemplating that if shareholders meeting cannot be called for various formalities or issue, a circular resolution can be passed for declaring such interim dividend.

   Before approaching the company for the above request, Mr. D sought your valued advice as you have been working as a practicing Chartered Accountant, providing advisory services in company matters.

   Requirements:

   i) Describe whether a shareholders meeting can be called for declaring interim dividend. What is the status of interim dividend compared to the final dividend? Who can declare final dividend? Can interim dividend be declared through circular resolution? 2

   ii) Can the company declare interim dividend out of revaluation reserve and capital reserve? 3

   b) Company XYZ is a publicly traded company with 1 million outstanding shares. The current market price of each share is Tk.10, making the company's market capitalization Tk.10 million. Now, Company XYZ decides to initiate a share buyback program to repurchase 100,000 shares from the market. They announce that they are willing to buy back shares at a price of Tk.12 per share. Among the investors, Investor A owns 1,000 shares, Investor B owns 10,000 shares and Investor C owns 100,000 shares. XYZ successfully completed the buyback, Investor A was one of them who decided to sell his 1,000 shares to Company XYZ at the offered price of Tk.12 per share. Investor A received a total of Tk.12,000 (Tk.12 x 1,000 shares) from the company. After the buyback, Company XYZ now has 900,000 outstanding shares (1 million - 100,000 repurchased shares). The company spent Tk.1.2 million (Tk.12 x 100,000 shares) to repurchase the shares.

   Requirements:

   i) As a result of the buyback, by giving examples of Investor B and Investor C, describe the implications on the existing shareholders who didn't prefer to sell their shares? 2

   ii) Can Bangladeshi companies implement a buyback of shares, and if so, what are the circumstances under which they can do so? 4

   c) ABC Ltd is operating in Bangladesh under the chairmanship of Mr. M Aminul Islam. He held 12,500 shares of the company. He expired on 05 June 2018. During his expiry, he had one wife, one daughter and one son. The son himself is also a director of the company who holds 5,000 shares of the Company.

   Till now he has been shown as the chairman of the company. The shares held by him is not yet been transferred to his successors, although a succession certificate from the court was submitted to the Company in this regard. The son would like to receive all the shares in his name as all other successors have agreed to transfer their respective shares that they would receive as heirs.

   Requirement:

   The son would like to know how the transfer would be executed in his name. You as the Company Secretary of the Company, advise him the process. 5

   d) ABC Limited, a joint venture company in Bangladesh with 40% ownership by a non-resident foreign company and 60% ownership by a local conglomerate, has generated profits of Tk. 10,00,00,000 (Taka Ten crore) in the financial year. The board of directors, consisting of five members, convenes a meeting to discuss dividend declaration.

   After careful consideration of the company's financial position and the interests of shareholders, the board decides to declare a dividend of Tk. 5,00,00,000 (Taka Five crore) to be distributed among the shareholders. This decision is also approved by the shareholders in a general meeting.

However, due to an ongoing foreign currency crunch, the bank is unable to pay or transfer the dividend amount to non-resident shareholders. As a result, the treasury department of ABC decides not to make any dividend payment to the non-resident shareholders until the foreign currency crisis is over. However, the company will proceed with the payment of dividends to the local shareholders.

Requirements:

i) Examine the above decision of the company from Corporate Governance point of view. 4

ii) Advise on the best course of action that ABC Limited may consider based on the circumstances. 3

2. a) The extract of the balance sheet of ABC Public Limited for the year ended 30 June 2023 was as follows-

(Amount in BDT)

Particulars	**30.06.2023**	**30.06.2022**
Paid-up capital	30,475,500	27,705,000
Share premium	1,260,585	1,260,585
General reserves	1,000,000	1,000,000
Dividend equalization reserves	465,000	465,000
Retained earnings	2,594,563	3,087,706
Total equity	**35,795,648**	**33,518,291**

The Company is listed with Dhaka Stock Exchange. The declaration Board meeting was held on 31 October 2023. The company could not perform well in 2023 and booked net loss of BDT 493,143.

However, the Board proposed cash dividend @10% for 2023. The Board also proposed to amend its name by adding PLC at its end in compliance with the Companies Act requirement. Accordingly, the AGM for 2023 was held on 31 December 2023.

The Company has arranged a virtual AGM in which shareholders were advised to join the meeting virtually through online platform.

The shareholders have approved all the agenda except the agenda for the proposed cash dividend @10%.

Requirements:

As the Company Secretary of ABC PLC, you are required to advise-

i) Can the Board declare the cash dividend even if the company incurred loss in 2023? Justify your answer with relevant law reference. 2

ii) In compliance with the directive No. BSEC/CMRRCD/2009-193/08, dated 10 March 2021, what are the compliance requirements of holding AGM? Has the company complied with the requirement? 3

iii) The company has published the Price Sensitive Information (PSI) after the Board meeting. After the AMG, is there any requirement for publishing PSI for not approving dividend proposed by the Board as well as the changing of it's name? If so, how the compliance will be followed? 5

b) NFC PLC is a listed Finance Company operating in Bangladesh under the Finance Companies Act, 2023 since 2000. The company has been listed with DSE since 2015.

As on 31 December 2023, other liabilities of the company includes BDT 3,237,000, and their ageings are as follows-

Other liabilities						**(Amount in BDT)**	
Particulars	**2023**	**2022**	**2021**	**2020**	**2019**	**2018**	**Beyond 2018**
Unclaimed dividend	1,787,000	120,000	400,000	250,000	30,000	42,000	945,000
IPO*	490,000						490,000
Rights offer**	310,000				310,000		
Unclaimed deposits***	650,000						650,000
Total	**3,237,000**	**120,000**	**400,000**	**250,000**	**340,000**	**42,000**	**2,085,000**

* Non- refunded public subscription money- IPO held in 2015;

** Non- refunded public subscription money- Rights offered in 2019;

*** Amount remains unclaimed since 2012 out of which BDT 300,000 was claimed by NBR of one of the deposits.

The audit of the financials is going on and the auditors have made the queries regarding the balances.

Requirements:

As the audit manager of the audit team, you are required to advise the management, the course of action regarding-

i) Unclaimed dividend, non-refunded public subscription money of IPO and Rights offer as per Bangladesh Securities and Exchange Commission Directives. What will be the settlement procedure for subsequent claim? 7

ii) Unclaimed deposits as per Finance Companies Act, 2023. What will be the settlement procedure for subsequent claim? 4

3. The Business Chamber in Bangladesh has noted that MNCs and local conglomerates enlist independent third-party actuaries for actuarial valuations to comply with International Accounting Standard 19 on employee benefits. However, there is a notable absence of comprehensive standards addressing key aspects such as the selection of actuaries, valuation frequency, and other relevant considerations beyond the scope of IAS 19.

Requirement:

As an advisor to the Chamber, advise whether the Financial Reporting Council can play a role here describing the steps if any. 6

4. XYZ PLC, a non-banking financial company listed in both the stock exchanges in Bangladesh, has authorized share capital of BDT 500 crore divided into 50 crore ordinary shares of BDT 10.00 each. Currently, paid up capital of the Company is BDT 350 crore. The management proposes to increase the paid up capital of the company through issuance of Right share in the ratio of 1:1 at a price of BDT 15.00 per share. The next Board meeting of the company will be held on December 30, 2024 when the proposal of issuance of Right share will be placed. The management of the Company requested to advise them regarding the procedures to be followed for successful consideration of the Right share.

Requirements:

In regard to above you are required to give your advices on the formalities/compliances to be considered with regard to the provisions of:

a) The Companies Act 1994; 6

b) The rules and regulations of Bangladesh Securities and Exchange Commission; and 4

c) The Financial Institutions Act 1993. 1

5. a) ABC Bank and its two subsidiaries are holding XYZ Finance Limited's (a listed non-bank financial institution in Bangladesh) shares in the following manner:

Company Name	No. of Shares Held	Shareholdings Percentage
ABC Bank Limited	37,413,141	9.00%
ABC Bank Capital Resources Limited	41,154,150	9.90%
ABC Brokerage Limited	17,912,556	4.31%
Total	**96,479,847**	**23.21%**

The banking group is holding 23.21% shares of XYZ Finance Limited and also representing four seats in XYZ's board. In line with IAS 28 Investment in Associates and Joint Ventures, the banking group is required to recognise these investments as associate as reflections of the followings are there:

a. The group has more than 20.0% voting rights
b. Four persons are representing in XYZ Finance Limited's board.

The bank did not recognize XYZ Finance Limited as under their group with the argument that XYZ Finance Limited, being an organization regulated by Bangladesh Bank, Bangladesh Securities and Exchange Commission, Financial Reporting Council, Stock Exchanges, etc., formulates its operational processes and policies independently and ABC Bank Ltd. does not have significant influence over the operation and policy making of XYZ Finance Limited.

Requirement:

What are the criteria for recognition as group based on control as per BRPD Circular No. 01, dated 16 January 2022? Explain whether the ABC Banking group will recognize XYZ Finance Limited as under their group. 6

b) PQR Bank PLC has experienced a huge credit growth in the post covid situation. The bank has taken huge exposure in the infrastructural development sector. The bank extends yellow equipment loan for major construction. Additionally, the bank purchase bills from the contractors against government development works.

The bank has the exposures with the following two entities- (Amount in BDT)

Exposure	ABC Constructions Ltd	XYZ Construction Ltd
Loan against yellow equipment	70,000,000	90,000,000
Bill purchased	100,000,000	150,000,000
Bank guarantee	30,000,000	50,000,000
Total exposure	**200,000,000**	**290,000,000**

ABC Construction Ltd. has approached the bank for another BDT 500,000,000 loan for commercial space purchase for its office use.

Bill purchased from the companies are of 90% common government project. There is no common directorship between two companies. But the lion shareholder directors of both the companies are good friends of each other.

Requirements:

i) What are criteria under Connectedness on the basis of Economic Interdependence as per BRPD Circular No. 01, dated 16 January 2022? Are they considered as entities under a single group? Will these two entities be treated as a group? 5

ii) From the above information, as per the circular you are required to calculate-
   1) Funded exposure to XYZ Ltd.; 4
   2) Non-funded exposure to XYZ Ltd.; and 2
   3) Whether the bank can extend the new loan to the ABC Construction Ltd. considering single borrower exposure limit? 2

6. a) Is there any statutory restriction on granting loan to any employee by an insurer? Discuss. 6

   b) Mr. B purchases a life insurance policy from Insurance Company XYZ. The policy has a term of 20 years and a sum assured of Tk. 2,000,000. The policy also has a cash value component that accumulates over time. After paying premiums for 10 years of Tk. 200,000, Mr. B faces financial difficulties and decides to surrender the policy. As per specific terms and conditions of the life insurance policy, the surrender value shall be determined considering the following factors:
      - Policy duration:
        - If below 5 years: Cash value at the time of surrender is 0% of total premium paid.
        - If exceeds 5 years: Cash value at the time of surrender is 75% of total premium paid.
      - Surrender charge: 10% of the cash value

   Requirement:

   Indicating the meaning of "surrender value," describe whether Mr. B would be eligible for a surrender value, and if so, what amount? 4

7. a) ABC PLC ("ABC") is a newly incorporated public limited company that started its operations in 2023. ABC has a manufacturing plant located in Vulta, Narsingdi, where approximately 200 workers have been employed, in addition to another 100 management staff employed for various managerial roles at the corporate office and in the field. ABC is well aware of the minimum wage provisions as applicable under the labor law. Therefore, it has set the wages of the workers at least 20% above the minimum wages fixed by the government. Based on this, ABC has decided not to have a provident fund scheme for the workers, while opting to create one for the management staff. As a result, a certain number of workers have approached ABC, requesting the establishment of a provident fund for the workers, stating that it is mandatory as per labor law.

   As the company secretary of ABC, the management has approached you to understand the legal requirements in order to ensure compliance.

   Requirements:

   i) Verify the validity of the workers' claim for the establishment of the fund. 2

   ii) Under the circumstances, clarify whether ABC is obligated to establish a provident fund for its workers under the Bangladesh Labour Act 2006. 2

   iii) If ABC establishes a provident fund scheme for its workers, can it maintain a 10% subscription rate, citing the maximum rate recommended under the labor law? 2

   b) Mr. Abdul Zabbar aged 24 years joined in Denison Ltd. as factory in-charge on 1 January 2023. The company is employee friendly and compliant with labor laws applicable for the company.

   During 2023, he availed Casual leave for 8 days and Sick leave for 15 days. Moreover, for meeting the customer order deadline he worked for 3 days during holidays.

   Requirement:

   As HR manager, you are required to compute his balance of leave carried forwarded for the next year i.e. 2024. 4

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